

Coney Island III Tops Out: The Capital Stack Behind 420 Affordable Units

Public-private financing shows affordable housing development still works when the cost of capital is subsidized.

The most important detail in the topping-out of Coney Island III is not the 420 units or the 11 stories. It is the list of capital providers: Citi and Goldman Sachs on the construction debt and equity side, alongside the New York City Department of Housing Preservation and Development and the Housing Development Corporation. This is not a market-rate deal that penciled out on its own.

It is a public-private capital stack designed to make affordable housing feasible when conventional underwriting would not. BFC Partners, the developer, is executing the third and final phase of the Coney Island West master plan. The full plan will deliver 1,242 homes. Coney Island III alone adds 420 rental units, all affordable. The site at 1709 Surf Avenue was a city-owned parking lot.

That land cost was effectively removed from the basis, a structural advantage that no private developer could replicate on the open market. The financing structure matters because it reveals who is willing to lend into construction risk in 2026. Citi and Goldman Sachs are not betting on Coney Island market rents.

They are betting on a subsidy-backed income stream, tax-exempt bond proceeds, and a sponsor with a long track record in New York City affordable housing. The construction debt is likely priced at a spread that reflects the credit enhancement from HPD and HDC, not the standalone risk of the asset. This is the pattern across New York City affordable development today.

The deals that break ground are the ones where the public sector absorbs the basis risk, the land cost, and a portion of the interest rate exposure. Private capital shows up when the downside is capped and the exit is defined by regulatory agreements, not market volatility. Who benefits? The tenants who will occupy units at restricted rents. The city, which adds housing supply without direct general fund expenditure.

The lenders, who deploy capital at acceptable risk-adjusted returns. And BFC Partners, which earns development fees and long-term ownership of a stabilized asset with predictable cash flow. Who is exposed? The lenders, if construction costs overrun or completion is delayed. The city, if the subsidy structure proves insufficient to cover operating deficits in a high-cost environment.

And the market-rate development pipeline, which competes for the same labor and materials without the same subsidy cushion. The completion date is 2028. That timeline itself is a signal. A four-year construction period for an 11-story building reflects the reality of extended development schedules in New York City, where financing complexity, regulatory approvals, and supply chain constraints compress the feasible pipeline.

Coney Island III is not a proof point that development is back. It is a proof point that development works when the capital stack is engineered to absorb risk that the private market will not take alone. The next question for lenders and developers is how many of these deals the public sector can support before the subsidy budget runs out.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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